9. **Encourages creativity and innovation:** It encourages creativity and innovation at the top levels. When ample space is given to the top level executives, they can try new methods to attain the goal and implement the quality ideas which they have.
10. **Helps decision making:** Several options are selected while making decision. Planning helps to select the best option among the alternatives, considering the available resources of the organisation.

2.6. Limitations of Planning

Although planning is a primary function and facilitates various other management functions, it has barriers and limitations. Some of them are given below.

1. **Expensive:** planning is an expensive process, because time, energy and money are involved in gathering of facts and testing of various alternatives. So, small organisations are unable to afford a formal planning progress.
2. **Rigidity:** planning restricts the individual freedom, initiative and desire for creativity, as it strictly adheres to predetermined policies and programmes.
3. **Uncertain:** Plans are meant for the future use, but future happenings cannot be accurately predicted. A sudden change in the policies of the government, loss due to natural calamities can destroy the plans, even though it is carefully prepared,
4. **Non-availability of data:** Planning needs reliable facts and figures. Planning loses its value unless reliable information's are available.
5. **People's resistance:** Resistance to change hinders planning. Planners often feel frustrated in instituting new plans, because of the inability of the people to accept them.
6. **Ignorance of subordinates' interest:** Plans are prepared to attain the organisational goal in the most effective manner; ignoring subordinates interest. So the employees work without interest or involvement, this affect the quality of work.

2.7 Essentials of a Sound Plan

Plans are formulated with a view to achieve organisational goals. A good plan will be one that enables the management to achieve its goals. A good plan should have the following essentials:

1. It should be simple and clear.
2. It should be easily understandable to the followers.
3. It should be prepared on the basis of clearly defined objectives.
4. It should cover all aspects that are needed for the fulfilment of the objectives.
5. It should be flexible to changing situations.
6. It should be as economical as possible.
7. It should be adaptable.
8. It should provide standards for the evaluation of actual performance.
9. It should provide a basis for decentralisation of its various activities.
10. It should guide decision-making.

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